

Fundraising and Grant Applications

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PMAP 3210 Chapters 8 and 10



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The Key To Fundraising

- The fundamental key to fundraising is simple:

Ask for money

- The best people to ask are donors who have donated to your organization before
- However, donors do not always like being solicited all the time for donations (See avoiding the ask by Andreoni, Rao, and Trachtman, 2017)
- To determine how much you want to ask, a nonprofit needs to have a good estimate for its budget
- To do get a rough estimate of the budget, you should realistically prepare 3:
 - The “shoestring” minimal budget
 - The “best case scenario” maximalist budget
 - The “realistic” budget

Tailoring the Ask

- Fundraising requests need to be tailored to the audience you are targeting
 - Oxley (2023) shows there is financial incentive to do this for Religious Nonprofits targeting individuals across the political spectrum
- In general, donors receive a “warm glow” or have a private incentive to donate to charity (Andreoni, 1989)
- Large scale donations (\$1 Mil +) generally require cultivation and relationship building, but can be worth it to sustain the organization

Source of Nonprofit Donations

- Charity donations come from a variety of different sources.
- Per Giving USA (2023), donations totalled \$499.33 Billion in 2022. These dollars came from:
 - ① Individuals – 64% or \$319.04 Billion
 - ② Foundations – 21% or \$105.21 Billion
 - ③ Bequest – 9% or \$45.60 Billion
 - ④ Corporations – 6% or \$21.08 Billion

Sources of Fundraising

- Individual giving, comes from a variety of sources:
 - 1 Umbrella Fundraising Groups
 - 2 Foundations
 - 3 Mail, Text, and Phone Solicitations (Generally with an appeal to emotion)
 - 4 Online / email solicitations
 - 5 Corporate drives
 - 6 Events and Galas
- Regardless of source, any donor donating over \$250 to an organization must receive a written notice of contributions (usually accompanied with a thank-you letter)

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Finding The Grant

- An additional way for nonprofit organizations to garner revenue is through government grants
- Applying for grants is a time consuming process, so before you begin, you should consider the following about a grant:
 - ① The format of the application (Generally found in the grant's Request for Proposal [RFP])
 - ② The motivation of the fundraising source
 - ③ The amount of funds awarded by the grantor along with total funds
 - ④ An example of successful applications funded in previous cycles
 - ⑤ The individuals making fundraising decisions (do your homework)
 - ⑥ The selection criteria

Compiling the Grant

- After selecting the grant you wish to apply for, you will need to compile your grant application
- The process laid out in the textbook is a format that you will need to follow for your grant application assignment
 - ① Cover Letter addressing the following:
 - Addressed to the appropriate individual at the grantor agency
 - Containing a one-sentence description of the proposal
 - Provides a summary of fund use
 - List the total amount of funds requested
 - Provides contact information for the charity
 - ② Executive Summary
 - ③ Introduction (providing information that is relevant to the organization that would not appear elsewhere)

Compiling the Grant Continued

4 Need

- This summarizes the needs of the community that will be met through the grant funding as opposed to the needs of the organization
- The need should be quantified through data

5 Objectives

- Measurable
- Time-based
- Realistic

6 Project Description:

- Who, What, When, Where, Why, and With Whom of the project

7 Budget

- Personnel costs (salaries, benefits, consultants, contract services)
- Other costs (travel, office space, equipment, consumable supplies, etc)
- Some grants require orgs to contribute a matching share

8 Evaluation

9 Conclusion

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Discussion Question

- Think about advertisements for nonprofit organizations that you have seen. These could be on social media, on TV, billboards, wherever. Which ones do you find compelling? Which ones do you find repulsive? Why do you think nonprofits construct their fundraising asks the way that they do?